

Employing in the Netherlands

What You Need to Know · Employment Hero HeroForce EOR · July 2026

What does the EOR handle for you?

- **Employment contracts** — compliant contracts under the Dutch Civil Code, referencing any applicable CAO (collective agreement)
- **Monthly payroll** — salary payments in EUR, itemised payslips, mandatory 8% holiday allowance
- **Tax withholding** — loonbelasting (payroll tax) integrated with national insurance premiums
- **Social insurance** — employer premiums for unemployment (WW), disability (WIA/ZW) and health insurance (Zvw)
- **Leave and termination management** — notice periods, transition payment (transitievergoeding) and UWV process guidance

Employment Conditions

Contracts & Probation

Dutch employment law is employee-protective, and termination generally requires either UWV (labour authority) permission or a court procedure unless by mutual agreement. Probation length is tied to contract duration.

Contract Type	Maximum Probation	Legal Basis
Fixed-term, under 6 months	No probation permitted	Dutch Civil Code, Book 7
Fixed-term, 6 months – 2 years	1 month	Dutch Civil Code, Book 7
Fixed-term 2+ years / indefinite	2 months	Dutch Civil Code, Book 7

Working Hours & Overtime

Rule	Detail	Authority
Standard hours	Commonly 36–40 hrs/week (varies by CAO)	Working Hours Act (Arbeidstijdenwet)
Overtime premium	Not statutory — set by CAO or contract	CAO/employer discretion
Mandatory holiday allowance	8% of annual gross salary, paid (commonly) in May	Dutch Civil Code, Book 7

Minimum Wage & Statutory On-Costs (2026)

Measure	Rate	Notes
Minimum wage (21+)	€14.71/hour	+2.15% from 1 January 2026; hourly-only system since 2024
Employer social premiums	~18%–22% of gross salary	Covers WW (unemployment), WIA/ZW (disability/sick pay) and Zvw employer contribution
Social security contribution ceiling	€69,395/year (2026)	No additional contributions above this income level
30% ruling threshold (expats)	€48,013 minimum gross salary	Allows 30% of salary to be paid tax-free for up to 5 years

Leave Entitlements

Leave Type	Entitlement	Who Pays	Key Condition
Annual Leave	Minimum 4x weekly hours (20 days for a 5-day week)	Employer	Many CAOs offer 25 days or more
Sick Leave	Up to 104 weeks (2 years) at minimum 70% of last salary	Employer	First-year minimum cannot fall below the statutory minimum wage; many CAOs require 100% in year one
Maternity/Birth Leave (Mother)	16 weeks	UWV (government), 100% of salary up to a cap	6 weeks before + 10 weeks after birth (flexible split)
Partner Leave	1 week full pay + up to 5 additional weeks at 70% (UWV-funded)	Employer (1 week) + UWV (additional weeks)	Additional weeks must be taken within 6 months of birth

Payroll, Tax & Contributions

Total Cost Example — USD \$3,000 Gross Monthly Salary

Cost Item	Amount (USD)	% of Gross
Gross salary	\$3,000.00	100%
Holiday allowance accrual (8%)	\$240.00	8.00%
Employer social premiums (illustrative, 20%)	\$600.00	20.00%
EOR service fee (HeroForce, Tier 2)	\$600.00	20.00%
Estimated total monthly cost	~\$4,440.00	~148.0%

HeroForce EOR service fee shown at USD \$600 per employee per month (Tier 2 pricing), no setup fee. The 8% holiday allowance is a genuine additional cost on top of gross salary, not a deduction from it — factor it into any Dutch salary benchmarking. Employee deductions (withheld separately) are embedded within the Box 1 tax rate itself, since national insurance premiums are folded into the headline tax bracket.

Income Tax (Box 1, 2026)

The Netherlands embeds national insurance premiums directly into the Box 1 income tax rate for employment income — the visible rate already includes social contributions.

Annual Income (EUR, below state pension age)	Combined Rate
Up to €38,883	35.75%
Above €38,883	49.5%

Tax credits (up to ~€8,800 combined for the general and employed-person's credits) substantially reduce the effective rate at lower and middle incomes. Under the 30% ruling, qualifying expats pay an effective rate closer to 34–35% at most salary levels.

Termination & Separation

Notice Periods

Length of Service	Employer's Notice	Key Rule
Under 5 years	1 month	Dutch Civil Code, Book 7
5 – 10 years	2 months	Dutch Civil Code, Book 7
10 – 15 years	3 months	Dutch Civil Code, Book 7
15+ years	4 months	Dutch Civil Code, Book 7

Transition Payment (Transitievergoeding)

A statutory transition payment applies to almost every dismissal (including non-renewal of fixed-term contracts) from the very first day of employment — there is no minimum service threshold.

Basis	Formula
Transition payment	1/3 month's salary per year of service (pro-rated for partial years), no cap for most employees below a statutory maximum (~€98,000 or 1 year's salary if higher, for high earners)

★ HERO TIP

Dismissal in the Netherlands generally requires either UWV permission (for redundancy/long-term incapacity) or a subdistrict court ruling (for other grounds) — unilateral termination without one of these routes (or a signed mutual settlement agreement) is high-risk. Always route Dutch terminations through your HeroForce EOR to confirm the correct procedural path before issuing notice.

Public Holidays 2026

The Netherlands observes around 8 nationally-recognised public holidays; Good Friday and 5 May (Liberation Day, except every 5th year) are common but not universally mandated paid days off — many CAOs include them regardless.

Date	Holiday	Type
1 January	New Year's Day	National
3 April	Good Friday	Common (not universally mandated by law)
5–6 April	Easter Sunday and Monday	National
27 April	King's Day (Koningsdag)	National
5 May	Liberation Day (Bevrijdingsdag)	National (full paid holiday every 5 years; commonly observed anyway)
14 May	Ascension Day	National
24–25 May	Whit Sunday and Monday	National
25–26 December	Christmas Day and Boxing Day	National

Ready to hire in the Netherlands?

HeroForce by Employment Hero is an Employer of Record solution that handles hiring, contracts, compliance and payroll across 180+ countries.

Onboard your first Netherlands employee in as little as one to two weeks — HeroForce EOR service fee: **USD \$600** per employee per month, no setup fee (Tier 2).